

STEP 4 – ADDITIONAL INCOME REQUIRED TO SUPPORT FAMILY

The income presently being earned, less the payments no longer required and less the income available, results in the income needed for the family to continue living on the same level enjoyed through the income of the husband.

STEP 5 – INSURANCE REQUIRED TO PROVIDE THE NEEDED INCOME

If provision could be made in an “ideal” manner, the insurance money invested at 10 percent would return the needed amount of income to the family. To find the required amount of insurance, multiply the income required to support the family by 10.

Example: \$7,000 additional income is required to support the family

$\$7,000 \times 10 = \$70,000$. \$70,000 in insurance invested at 10 percent would provide the needed funds.

STEP 6 – LUMP SUM REQUIREMENTS

In addition to the insurance required to produce the regular sustained income, lump sums may be required for specific purposes (for example, college education). Those needs should be determined and added to the total amount of insurance.

Are funds needed to pay off the home mortgage? This should be discussed as a part of the family plan. If mortgage payments are being made under the existing income, then this could be continued under the sustained income provision. Since paying for the home would significantly boost the insurance requirement, this will also raise the amount that must be spent for insurance.

STEP 7 – ASSETS AVAILABLE

Determine the assets that are available for family provision. Subtract this amount from the desired amount of insurance.

Equity in a home can be counted as an asset only if the survivors plan to sell it.